

jump in ordering frequency from price-sensitive users, especially students, young professionals, and budget-first consumers. “With the food-delivery market maturing at 14–15% growth, the next leg of expansion clearly hinges on capturing this value segment. These offerings are pulling millions of users back into high-frequency ordering, making budget meals the real growth engine,” they say.

Slowing growth in the premium segment is, however, fraught with a fundamental economic challenge. “A significantly higher number of use cases can be unlocked with a ₹150 order value. However, making money on these low-value orders is extremely challenging,” says Agarwal of Redseer. “On a typical ₹200 order, a platform earns ₹45–50, while the delivery cost is ₹60–65. So, the fundamental question is: how do you make money on this?”

Will restaurants be able to support lower price points over the long term? Gogia says restaurants’ willingness varies by scale. Large and cloud-first brands have adjusted menus, portions, and ingredient mixes to make affordable meals viable. According to analysts at Ashika, this model isn’t great for long-term unit economics. Shortage of delivery boys and lower average order value lower margins. The companies are relying heavily on batching to make it work.

Smaller kitchens with higher input cost volatility will feel more pressure. The key enablers are volume and consistent demand through delivery platforms offsetting thinner per-order margins.

For Rapido, Ownly is a strategic diversification. “We are tapping into the Rapido ecosystem to optimise costs and build a scalable, sustainable model that addresses the slowing food delivery growth in India,” says Aravind Sanka,



DEEPINDER GOYAL
FOUNDER, ZOMATO

“ The recovery in food delivery growth has been slower than expected due to weak discretionary spending, delivery partner constraints, and cannibalisation from quick-commerce verticals”



SRIHARSHA MAJETY
CEO, SWIGGY

“ With affordability likely to be the single largest unlock, it is incumbent upon market creators such as Swiggy to try multiple approaches and see what can succeed, even if that means disrupting the status quo”

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CEO of Rapido, also a co-founder of Ownly.

Then there is magicpin, the quiet number three with laser focus on the value segment in India’s top 15–20 cities. According to Tracxn, magicpin reported a revenue of ₹315 crore in FY23, which rose a staggering 180% to ₹880 crore in FY24, while losses narrowed 6% to ₹107 crore. Magicpin also caters to the beauty and fashion retail segment, among others.

“A large value segment in India’s food delivery space is underserved. Many local merchants lack visibility on big aggregators, while prices there are often out of reach for mass consumers. At magicpin, we’re bridging that gap by enabling value-driven merchants to reach nearby customers through shorter

delivery routes, reducing costs and unlocking a market overlooked by traditional players,” says Anshoo Sharma, Chief Executive Officer and co-founder of magicpin.

Why not target the untapped Tier-II and III towns as well? Sharma says there is a massive market of students and young professionals staying away from home who are tech-savvy and looking for a better price point. The new entrants believe they have an edge. Industry experts say the ability to drive disruption with a fundamentally different mindset is far stronger when you are not already invested in the existing model. “Incumbents carry the baggage of an established revenue profile, which creates a natural reluctance to cannibalise their own business,” says Agarwal.